

Raj Kumar v. KESCO and Others

Allahabad High Court · Single Judge · 30 September 2013 · Writ - C No. 7541 of 2008 · **Writ allowed; 29.3.2005 appeal order and demand quashed; AO to re-determine at s.126(6) 1.5-times rate after adjusting deposits**

HEADNOTE

On a 26.10.2004 KESCO inspection that recorded a tampered meter and alleged theft, assessment at thrice the tariff under Clause 6.17.2 of the U.P. Electricity Supply Code, 2002 cannot stand. Section 126(6) of the Electricity Act, 2003, as it stood at that date, required one-and-a-half times the applicable tariff. Sections 174 and 175 give the Act overriding and additional effect; Section 185(3) continues the U.P. Electricity Reforms Act, 1999 (Schedule, Sl. No. 4) only so far as it is not inconsistent with the 2003 Act. From 10.6.2003 the Code cannot supply a conflicting thrice rate. The 29.3.2005 appellate dismissal and the later demand, both founded on Clause 6.17.2, are quashed; the assessing officer is to re-determine the amount in that light and issue a fresh demand after adjusting deposits. A plea that the provisional assessment was not served and no opportunity to object under Section 126(3) was given, not taken before the assessing officer or in the appeal, will not be entertained for the first time in writ, as it involves investigation of facts. Followed *Pankaj Kumar v. Kanpur Electric Supply Company* (CMWP No. 58317 of 2005, 23.9.2005).

FACTUAL SUMMARY

Raj Kumar took supply from Kanpur Electricity Supply Administration (KESA) for his unit. After the U.P. Electricity Reforms Act, 1999, KESA was transferred on 15 January 2000 to Kanpur Electric Supply Company Limited (KESCO). In September 2004 he sought enhancement of contracted load from 21.206 HP to 41.206 HP; the load was enhanced after formalities on 24 September 2004.

On 26 October 2004 KESCO inspected the unit. The check report recorded that mechanical meter no. 224643 GE, the body lead seal and the terminal lead seal were tampered and the incoming cable disconnected. Theft was alleged. Compounding was declined and supply was disconnected the same day. An ex parte provisional assessment dated 31 October 2004 for Rs. 6,59,796 followed. The petitioner deposited one-third (Rs. 2,19,932) on 12 November 2004 and appealed. The appeal, heard on 2 March 2005, was dismissed on 29 March 2005. He was later served a demand dated 5 December 2007 for the balance Rs. 4,39,863.97, payable by 4 January 2008. The writ challenged the 29 March 2005 appellate order and that demand.

REUSABLE CONSTRUCTIONS

1. A plea that the provisional assessment was not served and no Section 126(3) opportunity to object was given, not taken before the assessing officer or in appeal, will not be entertained for the first time in writ, as it involves investigation of facts. ¶ 8
2. From 10.6.2003, a theft or unauthorised-use assessment cannot be charged at thrice the tariff under Clause 6.17.2 of the 2002 Code; unamended Section 126(6) requires one-and-a-half times the applicable tariff (following *Pankaj Kumar*). ¶ 7, 9-13
3. Sections 174 and 175 give the Electricity Act, 2003 overriding and additional effect; Section 185(3) continues the U.P. Electricity Reforms Act, 1999 only so far as it is not inconsistent, so the Code cannot supply a conflicting thrice rate. ¶ 10

HOLDING-UNITS

HOLDING-UNIT · EA2003::126(3)

Want of service of provisional assessment and opportunity to object cannot be raised for the first time in writ

QUESTION

May a consumer first contend in writ that the provisional assessment was not served and no opportunity to object under Section 126(3) was given, when that plea was not taken before the assessing officer or in the memorandum of appeal?

HOLDING

No. The petitioner had not raised denial of opportunity to object to the provisional assessment before the assessing officer or in the appeal. The plea involves investigation of facts. The Court declined to entertain it for the first time in the writ petition and rejected that contention. ¶ 8

FLAG Source PDF concatenates listing and presence orders of 10.12.2012 (Sanjay Misra, J.), 6.9.2013 and 18.9.2013 (Pradeep Kumar Singh Baghel, J.); the operative judgment is 30.9.2013 (paras 1–13, Pankaj Naqvi, J.).

HOLDING-UNIT · EA2003::126

Unamended s.126(6) 1.5-times tariff, not thrice, governs a 26.10.2004 theft/UUE assessment

QUESTION

After 10.6.2003, may a theft/unauthorised-use assessment on a 26.10.2004 inspection be charged at thrice the tariff under Clause 6.17.2 of the 2002 Code, or must it be at one-and-a-half times under Section 126(6) as it then stood?

HOLDING

At one-and-a-half times under Section 126(6) as it stood at the relevant time. The petitioner was assessed at thrice the per-unit tariff under Clause 6.17.2 of the 2002 Code. That could not be the applicable rate; the case is covered by unamended Section 126(6), making the assessment and the 29.3.2005 appellate dismissal vulnerable in law. The writ is allowed. Those orders are quashed. Respondent no. 2 (the assessing authority) is to re-determine the amount in the light of that holding and issue a fresh demand, if any, after adjusting deposits. ¶ 7, 9-13

QUALIFIER

Unamended (pre-15.6.2007) 1.5-times text of s.126(6). Licensee's argument that theft is to be treated differently from unauthorised use, so that the Code's thrice rate does not conflict with the Act, was not accepted; the Court applied s.126(6) to this tampered-meter assessment.

FLAG Para 6 quotes the later 'twice' text of s.126(6); para 7 applies 'one and half times' as the section stood at the 26.10.2004 inspection. Catalog key EA2003::126; the clause applied is 126(6). Paras 2–3 challenge a demand dated 5.12.2007; para 13 quashes orders dated 29.3.2005 and 5.10.2007. Recorded as the judgment states them.

HOLDING-UNIT · UP-2002::6.17

Clause 6.17.2 (thrice the tariff for theft) cannot be the assessment rate after 10.6.2003

QUESTION

Does Clause 6.17.2 of the 2002 Code, charging assessed theft consumption at thrice the applicable tariff, survive the coming into force of Section 126(6)?

HOLDING

No. Clause 6.17.2 (quoted with 6.17.1) billed assessed theft units at thrice the tariff of the consumer category. That rate is inconsistent with unamended Section 126(6) and, from 10.6.2003, is not the rate applicable to the petitioner. Assessment and appeal on that basis cannot stand. ¶ 9-11

INTERPLAY · EA2003::174

s.174 overriding effect; scheduled 1999 Reforms Act continues only if consistent with the 2003 Act

QUESTION

Can the 2002 Code's thrice theft-assessment rate continue after 10.6.2003 because the Code was framed under the U.P. Electricity Reforms Act, 1999, which Section 185(3) saves?

HOLDING

No. A conjoint reading of Sections 174 and 175 shows the 2003 Act has overriding effect (save Section 173) over anything inconsistent in any other law or instrument, and is additional, not in derogation of other laws. Section 185(3) continues scheduled enactments, including the U.P. Electricity Reforms Act, 1999, only so far as they are not inconsistent with the 2003 Act. Even if the 2002 Code is treated as framed under that Act, the rate for unauthorised consumption from 10.6.2003 is that in Section 126(6) as it then stood. ¶ 10

QUALIFIER

The Court expressed reservations whether the 2002 Code has statutory sanction under U.P. Act 24 of 1999, finding no provision in the Code from which that could be inferred, but decided the rate point without resolving that character.

PRINCIPLE TAGS

uee-assessment-at-1.5x-tariff-not-thrice Unamended s.126(6) fixes a 26.10.2004 theft/UUE assessment at 1.5 times the tariff. Charging thrice under 2002-Code Clause 6.17.2 is illegal; assessment and appeal are quashed and the AO is to re-determine at the statutory rate. Same cluster as SCJ-059, SCJ-227, SCJ-228, SCJ-638, SCJ-640, SCJ-678. Lead authorities: *Pankaj Kumar v. Kanpur Electric Supply Company and others*. ¶ 9-13

supply-code-regulation-cannot-exceed-parent-act-s174-overriding By ss.174 and 175 the 2003 Act overrides inconsistent law or instruments. s.185(3) saves the 1999 Reforms Act only if consistent. Clause 6.17.2's thrice rate cannot travel beyond unamended s.126(6). Lead authorities: *Pankaj Kumar v. Kanpur Electric Supply Company and others*. ¶ 10-12

statute-prevails-over-supply-code Section 126(6) as it stood prevails over Clause 6.17.2 of the 2002 Code on the assessment rate. Followed from *Pankaj Kumar*. Lead authorities: *Pankaj Kumar v. Kanpur Electric Supply Company and others*. ¶ 10-12

disputed-questions-of-fact-not-adjudicable-under-article-226 Want of service of the provisional assessment and of an opportunity to object under s.126(3), not pleaded before the AO or in the appeal, involves investigation of facts and will not be entertained for the first time in writ. ¶ 8

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE U.P. ELECTRICITY SUPPLY CODE, 2002 HAS STATUTORY CHARACTER UNDER THE U.P. ELECTRICITY REFORMS ACT, 1999

The Court recorded reservations, finding no provision in the Code from which statutory sanction under U.P. Act 24 of 1999 could be inferred, then decided the rate on s.126(6) in any event ('Be that as it may'). ¶ 10

NOT DECIDED — WHETHER THE 26.10.2004 CHECK REPORT ESTABLISHED THEFT, AND THE CORRECTNESS OF DISCONNECTION AND COMPOUNDING

Inspection facts are recited; the Court decided only the assessment rate and the first-time 126(3) plea. Quantum is left to re-determination after adjusting deposits. ¶ 3, 13

NOT DECIDED — QUANTUM OF THE RE-DETERMINED ASSESSMENT

Remanded to respondent no. 2 to re-determine in the light of the 1.5-times holding and to issue a fresh demand, if any, after adjusting the amount deposited. ¶ 13

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Pankaj Kumar v. Kanpur Electric Supply Company and others</i> C.M.W.P. No. 58317 of 2005, 23.9.2005 Allahabad High Court (Single Judge)	On an identical issue, assessment of unauthorised use/theft is at one-and-a-half times under Section 126(6), not at thrice the tariff under the 2002 Code.	Relied on by the petitioner. The Court held that the view it took finds support from this decision and allowed the writ. ¶ 4, 12	Court	Followed

SCJ-698 · Raj Kumar v. KESCO and Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.